

DISHING IT OUT

It's a battlefield out there, in the great beyond, and the big boys are lining up with their best and brightest offers. Who's giving what in the great new game.

	DISH TV	TATA SKY	SUN DIRECT	BIG TV	DIGITAL TV
OFFER	225 CHANNELS	160-PLUS CHANNELS	130-PLUS CHANNELS	200-PLUS CHANNELS	175 CHANNELS
USP	Can be installed along with the existing cable tv connection	Technology that allows subscribers to save a particular content airing on one channel while watching another	Free dish antenna and set-top box with every connection	Subscription video-on-demand service to offer 600 new movies every year	Single remote for both set-top box and tv, 20 per cent larger dish antenna for better performance during rains
PRICING	Offers a variety of packages starting at Rs 1,990 plus Rs 200 for installation and activation	Packages start from Rs 99 plus hardware for Rs 1,499 and Rs 1,000 for installation	Rs 999 for a 10-month subscription and Rs 1,000 as installation charge	Entry offer priced at Rs 1,490 for a year, including 1-month unlimited access to BIG Cinema	Northern and southern packages start at Rs 1,499 and Rs 2,499, respectively
SUBSCRIBERS	Four million since 2003	2.7 million since 2006	1.4 million since January 2008	The company hopes to garner half a million subscribers in 12-18 months	The recently launched service eyes a dominant share of the DTH market

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JAWAHAR GOEL
MANAGING DIRECTOR, DISH TV

TV, currently the largest DTH firm, is expecting to add another two million-plus subscribers by March 2009 to take its tally beyond five million. Tata Sky has just notched up a two-million subscriber base. This is not to leave out Airtel, which is confident of grabbing the dominant position.

Indeed, with the DTH industry emerging as a hot business space in the country, existing players are going all out to woo viewers by slashing prices and offering freebies even if it means incurring losses of Rs 1,600-2,300 on every new subscriber they acquire, according to industry estimates. With increasing competition, the losses will rise and so DTH operators are looking at new ways to diversify and maintain market shares. Drastic cuts in prices of basic packages, affordable innovative offers, lowering of subscription fees and festive season schemes are what they are looking at as bailout packages. Players like Dish TV have approached General Motors, Ford and Ashok Leyland to install mobile TV antennas in cars and trucks and are increasing their presence in terms of exclusive showrooms.

Despite losses, the DTH industry is poised for a big leap as studies conducted by FICCI

and PricewaterhouseCoopers (PwC) confirm. The segment is expected to see a 44 per cent annual growth rate between 2008 and 2012. In comparison, cable tv households are expected to register a 2 per cent growth. Of 13 million DTH customers in India, an estimated seven million are customers of DD Direct Plus, a free DTH service of the public broadcaster Prasar Bharati, with the remaining six million split among Dish TV, Tata Sky, Airtel Digital TV, BIG TV and Sun Direct. This figure of seven million is a potential customer bank for the private players.

Though penetration of subscription tv is among the lowest in India, it has the largest number of DTH players unlike in the US where Echostar dominates with over 13 million subscribers and in the UK where BSkyB commands 8.98 million customers.

India has over 120 million households with TV sets, of which about 75 million use the conventional digital pay cable tv system. With the entry of new players, the customer base will only increase, agrees Jawahar Goel, managing director of Dish TV, the pioneer in DTH services in the country. "Dish TV has grown faster in a dual-player scenario than when it was the lone player in the